TONY PELAYO
BREAKTHROUGH INTO HOMEOWNERSHIP

CLIENT RESOURCE GUIDE

ESCROW SHORTAGE ACTION PLAN

Your payment went up. Here's exactly why — and what you can do about it.

01

Understanding the Shortage

Each month, your lender collects money to cover property taxes and homeowner's insurance. If those costs increased — and your payment didn't adjust in time — your escrow account ran short. Your servicer covered the gap, and now they're billing you to pay it back. By default, they want it repaid in **12 months**. That's why your payment jumped.

This is especially common on **new construction homes** where initial payments are based on estimated taxes that exclude special assessments and the updated tax bill tied to your actual purchase price.

02

Your Options — Know Them Before You Call

01	02	03
PAY IN FULL	**12-MONTH DEFAULT**	**NEGOTIATE EXTENDED TERMS**
Write a check for the full shortage upfront. Your payment still adjusts for higher taxes, but you eliminate the 12-month surcharge.	Servicer splits the shortage across 12 added monthly payments. This is their default offer. You are not required to accept it.	Request 24–36 months, or backend deferral rolling the shortage to your loan's end. Many servicers allow this — you just have to ask.

03

What to Say to Your Servicer

Call the number on your escrow analysis letter. Use these phrases word for word:

1	*"I received my escrow analysis and I'd like to discuss my repayment options for the shortage."*
2	*"Can I request an extended repayment term beyond 12 months to reduce the monthly impact?"*
3	*"Is there an option to add the shortage to the back end of my loan — similar to a loan modification?"*
4	*"What is the maximum repayment term available for escrow shortage repayment?"*

5	*"Can you send me the details of any extended plan options in writing before I agree to anything?"*

PRO TIP	If the first rep says no, ask for a supervisor or the loss mitigation department. Always request any agreement in writing before ending the call.

04

Your Action Checklist

■	**Locate your escrow analysis letter**	Check your mail or servicer's online portal
■	**Confirm the shortage amount + new payment**	Write down both numbers before calling
■	**Call your servicer — ask about extended repayment**	24–36 months may be available
■	**Request backend deferral option**	Ask to add shortage to end of loan
■	**Get any agreement in writing**	Before ending the call
■	**Note your current interest rate**	You'll need this for the next step
■	**Compare new payment vs. a refi payment**	Numbers may surprise you
■	**Book your free mortgage review**	See if a refi eliminates the problem entirely

COULD A REFINANCE FIX THIS ENTIRELY?

Sometimes the escrow shortage is just the trigger — the real fix is your rate. If your rate is above 6.5%, refinancing could lower your monthly payment enough to offset the shortage and then some. Some homeowners end up paying **less per month after a refi** than they did before the shortage hit.

Book Your Free Mortgage Review

Pull your numbers. Run the scenarios. Make a real decision.

calendly.com/preapproved

Tony Pelayo | Breakthrough Into Homeownership

NMLS# 1416824 | NMLS# 1501920 | DRE# 02178656
(323) 313-8761 | tpelayo@emortgagecapital.com